

ÂL-JÛÑÂÎD TÊCH



MGT602- Entrepreneurship
(SOLVED MCQs)
FROM MIDTERM PAPERS
LECTURE (1-22)



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CS619 & CS519

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1. Which one of the following types of franchiser control is exercised when the franchisee can sell only those goods and services whose right has been granted by the franchiser?
 - + [Restriction of good / service to be sold](#)
 - + Approval of site and facility's appearance
 - + Required operating hours and advertising
 - + Restriction of sales territory
2. Home based entrepreneurship is more common in:
 - + None of the above
 - + Urban areas
 - + [Rural areas](#)
 - + Capital cities
3. In which one of the following industries, "physical evidence" is a very important part of marketing mix?
 - + Furniture manufacturing industry
 - + [Services industry](#)
 - + Beverages' manufacturing industry
 - + Manufacturing industry
4. Mr. Ahmad regularly gathers data about the marketing practices of his business competitors to align his business strategy accordingly. This is an example of
 - + [Marketing intelligence](#)
 - + Financial intelligence
 - + Customer intelligence
 - + Data intelligence
5. What is the term used for a person with a lot of experience of creating new ventures?
 - + Entrepreneur
 - + [Serial entrepreneur](#)
 - + Co-entrepreneur
 - + Intrapreneur
6. Grameen bank issues loan on very low interest rate to poor segments of the society in Bangladesh. This is the best example of:
 - + [Co-entrepreneurship](#)
 - + Serial entrepreneurship
7. In which one of the following industries, "physical evidence" is a very important part of marketing mix?
 - + Furniture manufacturing industry
 - + [Services industry](#)

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- ✚ Beverages' manufacturing industry
 - ✚ Manufacturing industry
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- ✚ Entrepreneur
 - ✚ **Serial entrepreneur**
 - ✚ Co-entrepreneur
 - ✚ Intrapreneur
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- ✚ **Co-entrepreneurship**
 - ✚ Serial entrepreneurship
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- ✚ Beverages' manufacturing industry
 - ✚ **Services industry**
 - ✚ Furniture manufacturing industry
 - ✚ Manufacturing industry
11. What is the term used for a person with a lot of experience in creating new ventures?
- ✚ Entrepreneur
 - ✚ Co-entrepreneur
 - ✚ Intrapreneur
 - ✚ **Serial entrepreneur**
12. Which of the following might be the characteristic(s) of wantrepreneurs?
- ✚ Unrealistic desires
 - ✚ Indecisiveness
 - ✚ **All of the above**
 - ✚ Confusion about business idea
13. Mr. Imran has ambitious desires for an entrepreneurial venture but has not been able to start it for a long time due to confusion, unrealistic desires, and indecisiveness. In which one of the following categories does he fall?
- ✚ Serial entrepreneurship
 - ✚ Senior entrepreneurship
 - ✚ Social entrepreneurship
 - ✚ **Wantrepreneur**
14. Which of the following feature(s) should be present for a good relationship between franchiser and franchisee?
- ✚ Empathy
 - ✚ **All of the above**
 - ✚ Communication
 - ✚ Responsiveness

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15. Aan may be called as the ultimate goal of life for a person.

- ✚ Strong work ethics
- ✚ Being self-starter
- ✚ Vision
- ✚ Empathy

16. Which of the following conditions for a good relationship between a franchiser and franchisee is compromised when the franchisers don't respond to the repeated telephonic calls of franchisee for guidance in his new business?

- ✚ Responsiveness
- ✚ Open mindedness
- ✚ Profit sharing
- ✚ Empathy

17. Which is the type of cost that a franchisee has to give to the franchiser based upon the earning of business?

- ✚ Initial franchise fee
- ✚ Cash investment
- ✚ Advertising expense
- ✚ Royalty payment

18. Dealership in the automobile industry is often based on the following franchising arrangement:

- ✚ Piggyback franchising
- ✚ Product and trade name franchising
- ✚ Business format franchising

19. In which one of the following businesses, there is less risk and reward?

- ✚ Joining the already existing family business
- ✚ None of the above
- ✚ Pure entrepreneurship route
- ✚ Franchising

20. Mr. Asif has started a tuck shop business that is in a room of his house facing the roadside. Which one of the following term(s) can be used for such a business?

- ✚ Micro entrepreneurship
- ✚ Home-based entrepreneurship
- ✚ Nano entrepreneurship
- ✚ All of the above

21. For which one of the following businesses, earning profit is not the sole motive of the business?

- ✚ Co-entrepreneurship
- ✚ Senior entrepreneurship
- ✚ Serial entrepreneurship
- ✚ Social entrepreneurship

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22. In which one of the following businesses, entrepreneur enters the business world under the umbrella of an established business brand?

- ☐ Pure entrepreneurship route
- ☒ Franchising
- ☐ Joining the already existing family business
- ☐ Buying an existing business

23. What is the term used for a person with a lot of experience of creating new ventures?

- ☐ Entrepreneur
- ☒ Serial entrepreneur
- ☐ Co-entrepreneur
- ☐ Intrapreneur

24. Owner of a franchise outlet overestimated the business growth of the company from which he purchased the franchise. Which of the following conditions for a good franchiser — franchisee relationship has been compromised in this case?

- ☐ Open mindedness
- ☐ Empathy
- ☐ Responsiveness
- ☒ Anticipation

25. Mr. Anmad has started a new business of a pharmaceutical company and wants to remainfully focused on it without any additional source of income. This is an example of:

- ☐ Part-time entrepreneurship
- ☐ Social entrepreneurship
- ☐ Co-entrepreneurship
- ☒ Full-time entrepreneurship

26. A business model that is more similar to Non-Governmental Organizations (NGOs) is called:

- ☐ Senior entrepreneurship
- ☐ Co-entrepreneurship
- ☒ Social entrepreneurship
- ☐ Serial entrepreneurship

27. Mr. Ahmad is very determined to start only a digital business and he has got formal education for it as well. Which one of the following characteristics of a successful entrepreneur is he having?

- ☐ Passion for business
- ☐ None of the above
- ☒ Execution intelligence
- ☐ Tenacity despite failure

28. Mr. Ahmad has started a new business of a pharmaceutical company and wants to remainfully focused on it without any additional source of income. This is an example of:

- ☐ Part-time entrepreneurship
- ☐ Social entrepreneurship
- ☒ Full-time entrepreneurship

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Co-entrepreneurship

29. Which one of the following is the least risky business option for a new venture with less risk and more reward?

-  Buying an existing business
-  Joining the already existing family business
-  Pure entrepreneurship route
-  **Franchising**

30. Generally, the franchising in telecom sector happens under the following franchising arrangement:

-  Business format franchising
-  **Product and trade name franchising**
-  Piggyback franchising
-  Area developer

31. Mr. Khalid has a very good ability to have interpersonal interactions with potential new clients of his business of supplying building construction material. This is an example of:

-  Financial intelligence
-  **Persuasion and influence**
-  Customer intelligence
-  Data intelligence

32. Which one of the following modes of business is the most popular for doing business in the education sector of Pakistan?

-  Buying an existing business
-  Pure entrepreneurship route
-  **Franchising**
-  Joining the already existing family business

33. Which one of the following(s) might be characteristic of a successful entrepreneur?

-  Execution intelligence
-  Passion for business
-  **All of the above**
-  Tenacity despite failure

34. What is the term used for a person with a lot of experience of creating new ventures?

-  **Serial entrepreneur**
-  Entrepreneur
-  Intrapreneur
-  Co-entrepreneur

35. Which one of the following characteristics of a successful entrepreneur require him to keep working for his venture even after initial setbacks?

-  Goal setting
-  Learning

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- ✚ Information seeking
- ✚ Persistence

36. An entrepreneur has all the qualities of a successful entrepreneur but he does not have confidence for his products that he is to sell in the market. Which of the following characteristics of successful entrepreneur is he primarily lacking?

- ✚ Being self-starter
- ✚ Open mindedness
- ✚ Strong work ethics
- ✚ Self-assurance

37. Mr. Ahmad can interpret the financial statements of his business very well. This is an example of:

- ✚ Customer intelligence
- ✚ Financial intelligence
- ✚ Data intelligence
- ✚ Marketing intelligence

38. A person who starts a business after the age of 50 years is called:

- ✚ Social entrepreneur
- ✚ Serial entrepreneur
- ✚ Senior entrepreneur
- ✚ Co-entrepreneur

39. Mr. Ali has started a new business but the location of his office is outside the city which is a source of heavy transportation cost for the business. This is a typical example of:

- ✚ None of the above
- ✚ Wantrepreneur
- ✚ Entrepreneurial pitfall
- ✚ Franchise agreement

40. Generally, the franchising in education sector for schools and colleges happens under the following franchising arrangement:

- ✚ Area developer
- ✚ Product and trade name franchising
- ✚ Business format franchising
- ✚ Piggyback franchising

41. For which one of the following businesses, earning profit is not the sole motive of the business?

- ✚ Serial entrepreneurship
- ✚ Social entrepreneurship
- ✚ Co-entrepreneurship
- ✚ Senior entrepreneurship

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43. Core function of a business incubation center is to:

- ☐ Challenge a business idea
- ☐ Search for the opportunity gap
- ☐ Finance a business startup
- ☒ Introduce a business model

44. Which of the following is not a type of an economic system, categorized by World Economic Forum?

- ☐ Factor driven economy
- ☐ Efficiency driven economy
- ☒ Resource driven economy
- ☐ Innovation driven economy

45. In which one of the following methods, as an entrepreneur, you take a limited right of doing business of an existing brand to start your work under its umbrella?

- ☒ Franchising
- ☐ Pure entrepreneurship route
- ☐ Buying an existing business
- ☐ Joining the already existing family business

46. Financial assessment includes all of the following except:

- ☐ Adjusted techniques
- ☐ Balance sheet technique
- ☐ Banking technique
- ☒ Account receivables

47. Financial assessment includes all of the following except:

- ☐ Balance sheet technique
- ☐ Account receivables
- ☐ Adjusted techniques
- ☒ Banking technique

48. Buying an existing business saves time, energy and cost.

- ☐ False
- ☒ True

49. Which of the following is true about common values embedded in the culture of family businesses?

- ☒ All of the given options
- ☐ Integrity
- ☐ Wise use of resources
- ☐ Personal responsibility

50. Micro blogging sites are endorsed by:

- ☐ Industrial revolution
- ☒ Technological revolution
- ☐ Commercial revolution
- ☐ Industry revolution

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51. Mr. Ali has made a franchise agreement with a famous established school and as per the agreement, he can operate the business with specific timing in the morning only and with his own promotional expenses. Which type of franchise control is being exercised in this case?

- ☐ Approval of site and facility's appearance
- ☒ Required operating hours and advertising
- ☐ Restriction of goods | service to be sold
- ☐ Restriction of sales territor

52. Start-up means:

- ☒ Creating new venture
- ☐ Getting new Job
- ☐ Joining family business
- ☐ Franchising

53. ___ is a person who provides paid services to the customers by guiding them about the effectiveness of a potential franchising opportunity.

- ☐ Client
- ☐ Franchisee
- ☒ Franchise consultant
- ☐ Securities and Exchange Commission (SECP)

54. Working couples can be considered as ecopreneurs.

- ☐ False
- ☒ True

55. Which of the following has been most vital to pace up the industrial revolution?

- ☐ Fuel engine
- ☒ Steam engine
- ☐ Wind turbine
- ☐ Jet engine

56. Basic science is called as the mother discipline of entrepreneurship.

- ☐ True
- ☒ False

57. All the franchise branches of fast-food restaurants are often similar and are run under the following franchising arrangement:

- ☐ Piggyback franchising
- ☒ Business format franchising
- ☐ Product and trade name franchising
- ☐ Area developer

58. A business owned, controlled and joined by more than two family members is called:

- ☐ Young entrepreneurship
- ☐ Home based business
- ☐ Co-entrepreneurship
- ☒ Family Business

59. Dot com revolution was succeeded by:

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- ☐ Commercial computer revolution
- ☐ Industrial revolution
- ☐ Social media revolution
- ☒ Personal computer revolution

60. To be an entrepreneur is an act of nature. This statement is an entrepreneurial:

- ☐ Reality
- ☒ Myth

61. The core function of a business incubation center is to search for an opportunity gap.

- ☐ True
- ☒ False

62. Certain common values embedded in the culture of family businesses include all of the following EXCEPT

- ☐ Integrity
- ☐ Mutual respect
- ☐ Wise use of resources
- ☒ Rivalry

63. Major disadvantage of buying an existing business is:

- ☐ Customers
- ☒ Unsatisfactory location
- ☐ Cultural diversity
- ☐ Employee salary

64. Entrepreneurs do not need to work for long hours as compared to job holders.

- ☒ True
- ☐ False

65. Own investment is not considered as burden until business gets established.

- ☒ True
- ☐ False

66. Before buying an existing business, financial evaluation is a must. These evaluators can be all of the following except:

- ☐ Domain experts
- ☐ Attorneys
- ☐ Accountants
- ☒ Business owners

67. In which one of the following businesses, entrepreneur enters the business world under the umbrella of an established business brand?

- ☐ Buying an existing business
- ☐ Joining the already existing family business
- ☐ Pure entrepreneurship route
- ☒ Franchising

68. Which of the following is not among kinds of commitment?

- ☐ Obligation-based commitment
- ☐ Desire-based commitment

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- ☐ Morality-based commitment
- ☒ Cost-based commitment

69. For business succession, a five-stage process for succession is recommended.

- ☒ True
- ☐ False

70. Book "The competitive advantage of nations" is written by William Jack Baumal

- ☐ True
- ☒ False

71. Dot com revolution was succeeded by:

- ☐ Industrial revolution
- ☐ Social media revolution
- ☐ Personal computer revolution
- ☒ Commercial computer revolution

72. The invention of steam engine powered the pace of industrial revolution.

- ☒ True
- ☐ False

73. Which of the following is not a type of an economic system, categorized by World Economic Forum?

- ☒ Resource driven economy
- ☐ Innovation driven economy
- ☐ Efficiency driven economy
- ☐ Factor driven economy

74. Robotics manufacturing and reliance on high tech industrial resources are the fluent attribute of:

- ☐ Factor driven economy
- ☒ Innovation driven economy
- ☐ Efficiency driven economy
- ☐ Virtually driven economy

75. Which of the following is the most realistic option for entrepreneurship?

- ☐ A bookish subject
- ☐ A mother discipline
- ☒ A practical subject
- ☐ A theoretical subject

76. Which of the following is true about management style of family business?

- ☒ Parents and children might have different management styles
- ☐ Parents and children have autocratic management styles
- ☐ Parents and children have bureaucratic management styles
- ☐ Parents and children always have same management styles

77. After startup there is no need to take steps for growth and expansion.

- ☒ False
- ☐ True

78. Pakistan is an example of factor driven economy.

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- ☐ False
- ☒ True

79. A business that has to reinvest most of its earnings is considered as:

- ☐ Unprofitable
- ☒ Valuable
- ☐ Risky
- ☐ Accountable

80. attribute of:

- ☒ Innovation driven economy
- ☐ Virtually driven economy
- ☐ Factor driven economy
- ☐ Efficiency driven economy

81. Different teams that may exist in family businesses include all of the following EXCEPT:

- ☐ Husband wife team
- ☒ Teacher and students
- ☐ Sons and daughters team
- ☐ In-laws of one family member

82. While deciding to buy an existing business, there is a dire need to make a hasty decision.

- ☒ False
- ☐ TRUE

83. Entrepreneurs do not need to work for long hours as compared to job holders.

- ☐ True
- ☒ False

84. The literal meaning of the word "entrepreneur" is:

- ☐ To close a path
- ☒ To go between
- ☐ To divert
- ☐ To avoid something

85. Which of the following is an important advantage of buying an existing business?

- ☐ Employee salary
- ☐ Fixed expenses
- ☒ Satisfactory Location
- ☐ Cultural diversity

86. A company that two or more members of the same family own or operate together is called family business.

- ☐ True
- ☒ False

87. Non quantitative factors play an important role while valuating a business. Which of the following is an important non quantitative factor to valuate a business?

- ☐ Union contracts
- ☐ Market rate
- ☒ Product packaging

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☒ Growth potential

88. Basic science is called as the mother discipline of entrepreneurship.

☐ True

☒ False

89. Good brand image of an existing business plays an important role while deciding about buying the business.

☒ True

☐ False

90. Which one of the following is NOT a drawback of being an entrepreneur?

☒ Fast growth

☐ High profits

☐ High income

☐ Multitasking

91. Major disadvantage of buying an existing business is:

☐ Cultural diversity

☐ Employee salary

☐ Customers

☒ Unsatisfactory location

92. The first step in starting a new venture is:

☒ Idea generation

93. Main challenge in venture creation is:

☒ Lack of market knowledge

94. Mankind has been finding ways to combat life challenges. Its story from being the huntergatherers to the part of modern technological revolution is accredited to:

☒ Enterprising nature of mankind

95. Sajid wishes to start a new entrepreneurial venture and a business incubation center can primarily help him by providing:

☐ Market space

☐ List of customers

☐ List of suppliers

☒ Office space

96. Which one of the following modes of business only operates under a two-party system?

☐ Pure entrepreneurship route

☐ Joining the already existing family business

☒ Franchising

☐ Buying an existing business

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In which one of the following businesses, entrepreneur enters the business world under the umbrella of an established business brand?

- ☒ Franchising
- ☐ Pure entrepreneurship route
- ☐ Joining the already existing family business
- ☐ Buying an existing business

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- ☐ Fixed expenses
- ☒ Satisfactory Location
- ☐ Cultural diversity
- ☐ Employee salary

98. High projected growth will lead to low capitalization rate and ultimately value of the business will be low.

- ☒ False
- ☐ True

99. Which of the following kinds of commitment may affect the family business?

- ☒ All of the given options
- ☐ Desire-based commitment
- ☐ Obligation-based commitment
- ☐ Need-based commitment

100. When owner is shifting to different country, it is mandatory to shift the business.

- ☒ False
- ☐ True

101. Which of the following is not among kinds of commitment?

- ☐ Desire-based commitment
- ☐ Obligation-based commitment
- ☒ Morality-based commitment
- ☐ Cost-based commitment

102. Faulty business model negatively affects supply chain and delivery system.

- ☒ True
- ☐ False

103. After startup there is no need to take steps for growth and expansion.

- ☒ False
- ☐ True

104. Old age or illness can be an important reason for seller to sell the business.

- ☒ True
- ☐ False